

Business Responsibility and Sustainability Report

Section A: General Disclosures

S. No.	Particulars	Details
I.	Details of the listed entity	
1.	Corporate Identity Number (CIN) of the Listed Entity	L74899DL1995PLC069839
2.	Name of the Listed Entity	Varun Beverages Limited
3.	Year of incorporation	1995
4.	Registered office address	F- 2/7, Okhla Industrial Area, Phase- I New Delhi - 110 020
5.	Corporate address	Plot No. 31, Sector 44, Institutional Area, Gurugram - 122 002, Haryana
6.	E-mail	complianceofficer@rjcorp.in
7.	Telephone	+91-124-4643100
8.	Website	www.varunbeverages.com
9.	Financial year for which reporting is being done	FY 2024 Start date End date Current Financial Year - 2024 01-01-2024 31-12-2024 Previous Financial Year - 2023 01-01-2023 31-12-2023 Prior to Previous Financial year - 2022 01-01-2022 31-12-2022
10.	Name of the Stock Exchange(s) where shares are listed	National Stock Exchange of India Limited and BSE Limited
11.	Paid-up Capital	₹ 6,763.02 Million
12.	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Mr. Ravi Batra, Chief Risk Officer and Group Company Secretary +91-124-4643100 ravi.batra@rjcorp.in
13.	Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).	Standalone Basis
14.	Whether the company has undertaken reasonable assurance of the BRSR Core?	Yes
15.	Name of assurance provider	DEKRA (India) Pvt. Ltd.
16.	Type of assurance obtained	Reasonable assurance for core KPIs and limited assurance on other indicators.

II. Products/services

17. Details of business activities (accounting for 90% of the turnover): Year 2024

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1	Manufacturing of Beverages (NIC Code - 1104)	Manufacturing of Carbonated, Non-carbonated beverages and packaged drinking water	97.85%

18. Products/Services sold by the entity (accounting for 90% of the entity's Turnover): Year 2024

S. No.	Product/Service	NIC Code	% of Total Turnover Contributed
1	Carbonated, Non-carbonated beverages and packaged drinking water	1104	97.85%

III. Operations

19. Number of locations where plants and/or operations/offices of the entity are situated: As on 31 December 2024

Location	Number of plants	Number of offices	Total
National	36 plants for manufacturing of beverages and 3 plants for backward integration	1 Registered office, 1 Corporate office and 67 sales offices, depots and warehouses	108
International	serving through its subsidiaries	-	-

20. Markets served by the entity:

a. Number of locations: Year 2024

Locations	Number
National (No. of States)	26 states and 6 union territories
International (No. of Countries) (serving through its subsidiaries)	13

b. What is the contribution of exports as a percentage of the total turnover of the entity?

1.19% of total turnover (₹ 1,706.64 Million)

c. A brief on types of customers

End consumers are individuals serviced through Distributors, Retailers, Modern Trade, Hotels, Restaurants, etc.

IV. Employees

21. Details : As on 31 December 2024

a. Employees and workers (including differently abled):

S. No.	Particulars	Total	Male		Female		Others	
		(A)	No. (B)	% (B/A)	No. (C)	% (C/A)	No. (D)	% (D/A)
EMPLOYEES								
1	Permanent (E)	7,487	6,838	91.33%	627	8.37%	22	0.29%
2	Other than Permanent (F)	7,341	7,091	96.59%	250	3.41%	0	0.00%
3	Total Employees (E+F)	14,828	13,929	93.94%	877	5.91%	22	0.15%
WORKERS								
4	Permanent (G)	3,554	3,521	99.07%	33	0.93%	0	0.00%
5	Other than Permanent (H)	11,158	10,249	91.85%	883	7.91%	26	0.23%
6	Total workers (G+H)	14,712	13,770	93.60%	916	6.23%	26	0.18%

b. Differently abled Employees and workers:

S. No.	Particulars	Total	Male		Female		Others	
		(A)	No. (B)	% (B/A)	No. (C)	% (C/A)	No. (D)	% (D/A)
DIFFERENTLY ABLED EMPLOYEES								
1	Permanent (E)	2	2	100.00%	0	0.00%	0	0.00%
2	Other than Permanent (F)	27	26	96.30%	1	3.70%	0	0.00%
3	Total Differently Abled Employees (E+F)	29	28	96.55%	1	3.45%	0	0.00%
DIFFERENTLY ABLED WORKERS								
4	Permanent (G)	0	0	0.00%	0	0.00%	0	0.00%
5	Other than Permanent (H)	267	247	92.51%	20	7.49%	0	0.00%
6	Total Differently abled workers (G+H)	267	247	92.51%	20	7.49%	0	0.00%

* Workers number are on average basis for the reporting period

22. Participation/Inclusion/Representation of women: As on 31 December 2024

Particulars	Total	No. and percentage of Females	
	(A)	No. (B)	% (B/A)
Board of Directors	10	2	20%
Key Management Personnel	3*	0	0%

*includes one Board Member

23. Turnover rate for permanent employees and workers

(Disclose trends for the past 3 years)

	FY 2024				FY 2023				FY 2022			
	(Turnover rate in current FY)				(Turnover rate in previous FY)				(Turnover rate in year prior to the previous FY)			
	Total	Male	Female	Other	Total	Male	Female	Other	Total	Male	Female	Other
Permanent Employees	16%	20%	20%	9%	14%	19%	15%	0%	14%	20%	18%	0%
Permanent Workers		8%	3%	0%		4%	0%	0%		5%	3%	0%

V. Holding, Subsidiary and Associate Companies (including joint ventures)**24. (a) Names of holding / subsidiary / associate companies / joint ventures: As on 31 December 2024**

S. No.	Name of the holding/subsidiary/ associate/Companies/ Joint Ventures (A)	Indicate whether holding/ Subsidiary/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity ? (Yes/No)
1	Varun Beverages (Nepal) Private Limited	Subsidiary	100.00%	No
2	Varun Beverages Lanka (Private) Limited	Subsidiary	100.00%	No
3	Varun Beverages Morocco SA	Subsidiary	100.00%	No
4	Ole Springs Bottlers (Private) Limited (step down subsidiary)	Subsidiary	100.00%	No
5	Varun Beverages (Zambia) Limited	Subsidiary	90.00%	No
6	Varun Beverages (Zimbabwe) (Private) Limited	Subsidiary	85.00%	No
7	Varun Beverages RDC SAS	Subsidiary	99.90%	No
8	Lunarmech Technologies Private Limited	Subsidiary	100.00%	No
9	Varun Beverages International DMCC	Subsidiary	100.00%	No
10	Varun Beverages South Africa (PTY) Ltd.	Subsidiary	100.00%	No
11	VBL Mozambique, SA	Subsidiary	99.00%	No
12	The Beverage Company Proprietary Limited	Subsidiary	95.00%	No
13	Varun Foods (Zimbabwe) (Private) Limited	Subsidiary	100.00%	No
14	The Beverage Company Bidco Proprietary Limited (step down subsidiary)	Subsidiary	100.00%	No
15	Little Green Beverages Proprietary Limited (step down subsidiary)	Subsidiary	100.00%	No
16	Softbev Proprietary Limited (step down subsidiary)	Subsidiary	100.00%	No
17	Huoban Energy 7 Private Limited	Associate	26.34%	No
18	Clean Max Tav Private Limited	Associate	26.00%	No
19	IDVB Recycling Operations Private Limited	Joint Venture	50.00%	No

VI. CSR Details

25. (i) Whether CSR is applicable as per Section 135 of Companies Act, 2013: **Yes**
(Yes/No)
- (ii) Turnover (in ₹) (*Revenue from Operations) 143,486.00 (₹ in million) As on 31.12.2024
- (iii) Net worth (in ₹) (*Net worth = Equity Share Capital + Other Equity) 165,587.05 (₹ in million) As on 31.12.2024

VII. Transparency and Disclosures Compliances

26. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business (NGRBC):

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2024 (Current Financial Year)			FY 2023 (Previous Financial Year)		
		Number of Complaints Filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of Complaints Filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes, we have strategically placed our plant teams at various plant locations to ensure continuous community engagement. Furthermore, our individual unit heads and HR heads work closely with the communities, fostering strong relationships and addressing local needs	0	0	-	0	0	-
Investors (other than shareholders)	Yes, we have dedicated email address complianceofficer@rjcorp.in and telephone no - +91-124-4643100 for investors to raise their grievances or queries	0	0	-	0	0	-
Shareholders	Yes, Company is following strong Grievance Redressal Mechanism and has separate committee of Directors i.e. Stakeholders' Relationship Committee We have dedicated email address complianceofficer@rjcorp.in and telephone no - +91-124-4643100 for shareholders to raise their grievances or queries	11	0	-	3	0	-

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2024 (Current Financial Year)			FY 2023 (Previous Financial Year)		
		Number of Complaints Filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of Complaints Filed during the year	Number of complaints pending resolution at close of the year	Remarks
Employees and workers	Yes, our employees have multiple ways to reach us. Also, we have dedicated email address complianceofficer@rjcorp.in and telephone no - +91-124-4643100 to raise their grievances or queries. Additionally, they can directly write to their respective HR managers. We also have vigil mechanism policy and POSH policy which empowers and encourages employees to report any concerns regarding suspected unethical behaviour, malpractice, wrongful conduct, fraud, or violations of company policies. The policies are accessible at - https://varunbeverages.com/wp-content/uploads/2023/03/4-POSH-Policy.pdf https://varunbeverages.com/wp-content/uploads/2023/03/21-VIGIL-MECHANISM-POLICY.pdf	0	0	-	0	0	-
Customers	Yes. Also, number of complaints received through PepsiCo Customer Care is provided	1,084	7	The pending complaints were resolved in subsequent months	1,223	17	The pending complaints were resolved in subsequent months
Value Chain Partners	Yes, https://varunbeverages.com/wp-content/uploads/2023/04/23.1-Anti-Bribery-Policy1.pdf	0	0	-	0	0	-
Others (please specify)	Yes, https://varunbeverages.com/wp-content/uploads/2023/03/21-VIGIL-MECHANISM-POLICY.pdf	0	0	-	0	0	-

27. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format.

Please refer Sustainability Report - Chapter "Materiality Assessment" (page-44-46) and "Risk and Opportunities Management" (page-117-121).

Section B: Management and Process Disclosures

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions		P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Policy and management processes										
1.	a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
	b. Has the policy been approved by the Board? (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
	c. Web Link of the Policies, if available	Yes, policies can be accessed through this link - https://varunbeverages.com/policy/								
2.	Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3.	Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes, Anti Bribery Policy covers value chain partners								
4.	Name of the national and international codes/ certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	GRI Standards	ISO 14001 ISO 22000 (FSSC) GRI Standards	OHSAS 18001 GRI Standards	GRI Standards	GRI Standards	ISO 14001 GRI Standards	Company is a member of Federation of Indian Chambers of Commerce and Industry, PHD Chamber of Commerce and Industry, Confederation of Indian Industry, The Associated Chambers of Commerce and Industry of India and Action Alliance for Recycling Beverage Cartons. GRI Standards	GRI Standards	GRI Standards
5.	Specific commitments, goals and targets set by the entity with defined timelines, if any	Yes- Refer Sustainability Report (Page 49)								
6.	Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	Yes- Refer Sustainability Report (Page 49)								
Governance, leadership and oversight										
7.	Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)	Refer Executive Vice Chairman's Message section (Page 38-39) in Sustainability Report								
8.	Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	ESG Committee comprising of Executive Vice-Chairman and Two Whole-time Directors								
9.	Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Yes, Environmental, Social and Governance Committee								

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director/Committee of the Board/ Any other Committee									Frequency (Annually/ Half Yearly/ Quarterly/ Any other - please specify)								
	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Performance against above policies and follow up action	All the policies of the Company are approved by the Board and reviewed periodically or on a need basis. The Company complies with the regulations, extant and principles as are applicable periodically or on a need basis																	
Compliance statutory requirements of relevance to the principles, rectification of any non-compliances																		

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.

P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
No	No	No	No	No	Yes [#]	No	No	No

[#]DQS (Deutsch Quality Systems India Private Limited) has conducted carbon emission and water stewardship audit.

12. If answer to question 1 above is “No” i.e. not all Principles are covered by a policy, reasons to be stated

Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
The entity does not consider the Principles material to its business (Yes/No)	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
The entity does not have the financial or/human and technical resources available for the task (Yes/No)	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
It is planned to be done in the next financial year (Yes/No)	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.
Any other reason (please specify)	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.	N.A.

Section C - Principle Wise Performance Disclosure

This section demonstrate our performance in integrating the Principles and Core Elements with key processes and decisions

PRINCIPLE 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year 2024:

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	4	Code of conduct, Anti-bribery, Anti-corruption, FCPA and other policies including POSH, Key Developments, Sustainability Initiatives, Regulatory updates and Review of Policy & procedures	100%
Key Managerial Personnel	4	Code of conduct, Human Rights, Anti-bribery, Anti-corruption, FCPA, other key policies including POSH , Key Developments, Sustainability Initiatives, Regulatory updates and Review of Policy & procedures	100%
Employees other than BoD and KMPs	6	Code of conduct, Human Rights, Anti-bribery, Anti-corruption, FCPA, other key policies including POSH and health & safety and skill upgradation	100%
Workers	6	Contractual employees and workers Trainings on Health & Safety in manufacturing operations/Units	100%

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosures Requirements) Regulations, 2015 and as disclosed on the entity's website):

Monetary	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institution	Amount (In ₹)	Brief of the Case	Has an appeal been preferred ? (Yes/No)
Settlement	-	N.A.	N.A.	N.A.	N.A.
Penalty/Fine	-	N.A.	N.A.	N.A.	N.A.
Compounding fee	-	N.A.	N.A.	N.A.	N.A.

Non-Monetary	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred ? (Yes/No)
Imprisonment	-	N.A.	N.A.	N.A.
Punishment	-	N.A.	N.A.	N.A.

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of regulatory/ enforcement agencies/ judicial institutions
N.A.	N.A.

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes

Varun Beverages Limited and its subsidiaries, affiliates, associates and group companies (collectively referred to as "VBL"), their directors, officers, employees (including part-time and contractors) and suppliers ("Officials"), while acting on behalf of VBL strictly comply with this Anti-Bribery Policy. Officials are prohibited from giving or receiving Bribes to any Government Officials or any other person or entity, including any person or entity in the private or commercial sector, if the payment is intended to induce the recipient to misuse his or her position and thereby give an unfair advantage to VBL. Detailed Policy is available at:

<https://varunbeverages.com/wp-content/uploads/2023/04/23.1-Anti-Bribery-Policy1.pdf>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Directors	Nil	Nil
KMPs	Nil	Nil
Employees	Nil	Nil
Workers	Nil	Nil

6. Details of complaints with regard to conflict of interest:

	FY 2024 (Current Financial Year)		FY 2023 (Previous Financial Year)	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of interest of Directors	Nil	N.A.	Nil	N.A.
Number of complaints received in relation to issues of Conflict of interest of KMPs	Nil	N.A.	Nil	N.A.

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.
Not Applicable

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY 2024 Current Financial Year	FY 2023 Previous Financial Year
Number of days of accounts payables	31	30

9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2024 Current Financial Year	FY 2023 Previous Financial Year
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	3.1%	2.4%
	b. Number of trading houses where purchases are made from	77	18
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	85.5%	96.9%
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	100.0%	100.0%
	b. Number of Primary dealers/ distributors to whom sales are made	2,275	1,949
	c. Sales to top 10 dealers / distributors as % of total sales to dealers /distributors	14.3%	7.4%
Share of RPTs in	a. Purchases (Purchases with related parties as % of Total Purchases)	3.0%	4.6%
	b. Sales (Sales to related parties as % of Total Sales)	1.4%	0.9%
	c. Loans & advances given to related parties as % of Total loans & advances	100.0%	100.0%
	d. Investments in related parties as % of Total Investments made	99.7%	99.8%

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe

Essential Indicators

1. **Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)	Details of improvements in environmental and social impacts
R&D	-	-	-
Capex	₹ 488.45 Million (1.65% of the total capex)	₹ 512.18 Million (2.79% of the total capex)	We strive to make use of renewable energy for our energy requirements and aim to expand our renewable energy portfolio further.

2. **a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)**

Yes, the Company is procuring raw materials and packaging materials from the suppliers who are doing their respective businesses sustainably. Refer page 78-81 of Sustainability Report for some of the initiatives taken by our suppliers.

2. **b. If yes, what percentage of inputs were sourced sustainably?**

Given our business operations, it is difficult to estimate the percentage of inputs sourced sustainably.

However, VBL and all of our suppliers follow PepsiCo's Global Supplier Code of Conduct wherein they abide by all provisions relating to the impact on quality and food safety, sustainability, waste, and work environment which includes labor practices and human rights aspects. https://www.pepsico.com/docs/default-source/sustainability-and-esg-topics/supplier-code-of-conduct/pepsico-supplier-code-of-conduct---english.pdf?sfvrsn=67dd868f_28

3. **Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.**

(a) VBL has engaged GEM Enviro Management Limited for phased implementation of 100% recycling of used PET bottles. Headquartered in Delhi, GEM Enviro is a Central Pollution Control Board (CPCB) recognised Producer Responsible Organisation (PRO) specialising in collection and recycling of packaging waste and promotion of recycled green products. It makes T-shirts and bags made from recycling of waste material, such as used PET bottles.

(b) We are disposing off our E-waste through registered E-waste vendors

(c) We are safely disposing off our hazardous waste through registered vendors

4. **Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.**

Yes, Refer response to point 3 above.

Leadership Indicators

1. **Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?**

NIC Code	Name of Product/ Service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective/ Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain (Yes/No) If yes, provide the web-link.
-----------------	---------------------------------	--	--	--	---

Life Cycle Assessment Process

VBL is working continuously on screening our end-to-end production processes to deliver positive impact on environment. In alignment to this, we adopted Life Cycle Assessment (LCA) and undertook an internal study to assess the environmental impacts and embed the principles of sustainability into various stages of product i.e, procurement of raw material, manufacturing of products, transportation of raw materials and supply of finished goods. In order to continuously reduce the Company environmental footprint, the Company is improving efficiencies, especially on critical resources such as water, fuel and energy, optimizing the resource consumption and minimizing wastages including plastic waste management, increasing green cover in manufacturing plants and also developing outside establishments.

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Name of Product / Service	Description of the risk / concern	Action Taken
No risks have been identified		

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicate input material	Recycled or re-used input material to total material	
	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
r-PET used in producing Preforms	1.54%	0.00%

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

	FY 2024 (Current Financial Year)			FY 2023 (Previous Financial Year)		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including Packaging)	-	181,887	-	-	150,982	-
E-waste	-	-	1	-	-	4
Hazardous waste	-	-	1,640	-	-	1,426
Other waste	Quantity not recorded but safely disposed through authorised vendors					

PRINCIPLE 3: Businesses should respect and promote the well-being of all employees, including those in their value chains

Essential Indicators

1. a. Details of measures for the well-being of employees: FY 2024

Category	% of employees covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent employees											
Male	6,838	6,838	100.00%	6,838	100.00%	0	0.00%	0	0.00%	Applicable As per Factory Act	
Female	627	627	100.00%	627	100.00%	627	100.00%	0	0.00%		
Others	22	22	100.00%	22	100.00%	0	0.00%	0	0.00%		
Total	7,487	7,487	100.00%	7,487	100.00%	627	8.37%	0	0.00%		
Other than Permanent employees											
Male	7,091	7,091	100.00%	7,091	100.00%	0	0.00%	0	0.00%	Applicable As per Factory Act	
Female	250	250	100.00%	250	100.00%	250	100.00%	0	0.00%		
Others	0	0	0.00%	0	0.00%	0	0.00%	0	0.00%		
Total	7,341	7,341	100.00%	7,341	100.00%	250	3.40%	0	0.00%		

b. Details of measures for the well-being of workers: FY 2024

Category	% of workers covered by										
	Total (A)	Health Insurance		Accident Insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent workers											
Male	3,521	3,521	100.00%	3,521	100.00%	0	0.00%	0	0.00%	Applicable As per Factory Act	
Female	33	33	100.00%	33	100.00%	33	100.00%	0	0.00%		
Others	22	22	100.00%	22	100.00%	0	0.00%	0	0.00%		
Total	3,554	3,554	100.00%	3,554	100.00%	33	1.00%	0	0.00%		
Other than Permanent workers											
Male	10,249	9006	87.87%	9,006	87.87%	0	0.00%	0	0.00%	Applicable As per Factory Act	
Female	883	826	93.54%	826	93.54%	826	93.54%	0	0.00%		
Others	26	26	100.00%	26	100.00%	0	0.00%	0	0.00%		
Total	11,158	9,832	88.12%	9,832	88.12%	826	7.40%	0	0.00%		

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format –

	FY 2024 Current Financial Year	FY 2023 Previous Financial Year
Cost incurred on well being measures as a % of total revenue of the company	0.12%	0.12%

2. Details of retirement benefits, for Current Financial Year and Previous Financial Year.

Benefits	FY 2024 (Current Financial Year)			FY 2023 (Previous Financial Year)			Remarks
	No. of employees covered as % of total employees	No. of workers covered as % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as % of total employees	No. of workers covered as % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	
PF	100%	100%	Y	100%	100%	Y	PF AS PER EPF & MISC PROVISION ACT
Gratuity	100%	100%	Y	100%	100%	Y	GRATUITY AS PER PAYMENT OF GRATUITY ACT
ESI	100%	100%	Y	100%	100%	Y	ESI AS PER EMPLOYEE STATE INSURANCE ACT
Others - please sepcify	-	-	N.A	-	-	N.A	-

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

No

5. Return to work and Retention rates of permanent employees and workers that took parental leave - FY 2024

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	N/A	N/A	N/A	N/A
Female	100%	100%	100%	100%

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	Yes, the Company has multiple mechanisms to redress grievances as per below links as available on the website of the Company.
Other than Permanent Workers	
Permanent Employees	
Other than Permanent Employees	

<https://varunbeverages.com/wp-content/uploads/2023/08/25-Grievance-Redressal-Policy.pdf>

<https://varunbeverages.com/wp-content/uploads/2023/03/21-VIGIL-MECHANISM-POLICY.pdf>

<https://varunbeverages.com/wp-content/uploads/2023/03/4-POSH-Policy.pdf>

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2024 (Current Financial Year)			FY 2023 (Previous Financial Year)		
	Total employees/ workers in respective category (A)	No. of employees/ workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees/ workers in respective category (A)	No. of employees/ workers in respective category, who are part of association(s) or Union (B)	% (B/A)
Total Permanent Employees						
Male	6,838	0	0.00%	6,260	0	0.00%
Female	627	0	0.00%	488	0	0.00%
Others	22	0	0.00%	14	0	0.00%
	7,487	0	0.00%	6,762	0	0.00%
Total Permanent Workers						
Male	3,521	1,514	43.00%	3,175	1,586	49.95%
Female	33	14	42.42%	36	14	38.89%
Others	0	0	0.00%	0	0	0.00%
	3,554	1,528	42.99%	3,211	1,600	49.95%
Total employees and workers	11,041	1,528	13.84%	9,973	1,600	16.04%

8. Details of training given to employees and workers:

Category	FY 2024 (Current Financial Year)					FY 2023 (Previous Financial Year)					Remarks
	Total (A)	On Health & Safety Measures		On Skill Upgradation		Total (A)	On Health & Safety Measures		On Skill Upgradation		
		Number (B)	% (B/A)	Number (C)	% (C/A)		Number (B)	% (B/A)	Number (C)	% (C/A)	
Employees											
Male	6,838	6,066	88.71%	5,498	80.40%	6,260	2,886	46.10%	5,607	89.57%	-
Female	627	627	100.00%	627	100.00%	488	221	45.29%	330	67.62%	-
Others	22	22	100.00%	22	100.00%	14	4	28.57%	1	7.14%	-
	7,487	6,715	89.69%	6,147	82.10%	6,762	3,111	46.01%	5,938	87.81%	-
Workers											
Male	3,521	3,370	95.71%	3,100	88.04%	3,175	3,146	99.09%	2,856	89.95%	-
Female	33	33	100.00%	33	100.00%	36	34	94.44%	36	100.00%	-
	3,554	3,403	95.75%	3,133	88.15%	3211	3,180	99.03%	2,892	90.07%	-
Total employees and workers	11,041	10,118	91.64%	9,280	84.05%	9,973	6,291	63.08%	8,830	88.54%	-

9. Details of performance and career development reviews of employees and workers:

Category	FY 2024 (Current Financial Year)			FY 2023 (Previous Financial Year)		
	Total (A)	No. (B)	% (B/A)	Total (A)	No. (B)	% (B/A)
Employees						
Male	6,838	6,838	100.00%	6,260	6,260	100.00%
Female	627	627	100.00%	488	488	100.00%
Others	22	22	100.00%	14	14	100.00%
Total	7,487	7,487	100.00%	6,762	6,762	100.00%
Workers						
Male	3,521	3,521	100.00%	3,175	3,175	100.00%
Female	33	33	100.00%	36	36	100.00%
Total	3,554	3,554	100.00%	3,211	3,211	100.00%

Remarks - We have an annual appraisal process, where performance is assessed through ratings system. At the Sales unit level, performance is monitored month on month through target achievement. At Plant level performance is monitored through KPI's.

10. Health and safety management system:

a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Yes, Each plant has primary health centres and restrooms have been established. Periodic inspections are conducted by certified surgeons and auditing organization to confirm that our occupational health and safety systems meet international standards. Since we fall under Food & Beverage category, we are subjected to all industry related audits and surveys to ensure that we are 100% compliant.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Yes (Identified by concern government offices)

c. Whether you have processes for workers to report the work related hazards and to remove themselves from such risks. (Yes/No)

Yes, all workers can reach out to management to address their concerns regarding working conditions, human rights, etc.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/No)

Yes, medical advise is available for workers and employees at the plant level.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0.12	0
	Workers	0.096	0.003
Total Recordable work - related injuries	Employees	2	1
	Workers	3	1
No. of fatalities	Employees	0	0
	Workers	0	2
High consequence work-related injury or ill health (excluding fatalities)	Employees	0	0
	Workers	0	0

*Including in the contract workforce

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

1. Conducting Safety awareness program frequently
2. Specialized training program for operations/Technicians.
3. Safety audit by Internal/Government officials.
4. Formation of safety committee
5. Periodic Check of equipment's

13. Number of Complaints on the following made by employees and workers:

Category	FY 2024 (Current Financial Year)			FY 2023 (Previous Financial Year)		
	Filed during the year	Pending resolution at the end of the year	Remarks	Filed during the year	Pending resolution at the end of the year	Remarks
Working Conditions	0	0	-	0	0	-
Health & Safety	0	0	-	0	0	-

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%*
Working Conditions	100%*

* Remarks - As and when visited by respective Govt. officers

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

There were no significant risk or concern arising from assessments of health & safety practices and working conditions, however we have undertaken following preventive measures:

- i. Formation of Safety Committee to formulate best health & safety practices and working conditions.
- ii. Safety audit by Internal/ Government officials
- iii. Specialized training program for Operations/ Technicians
- iv. Conducting frequent Safety Awareness programs
- v. Periodic check of equipment

Leadership Indicators**1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Yes/No).**

(A) Yes; (B) Yes

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

Yes- for PF & ESI

All the contractors working with us are registered with PF & ESI authorities and they have been allotted separate code number by respective authorities. They are depositing the contributions as and when due and they share back the challans of the deposits made to the authorities.

3. Provide the number of employees / workers having suffered high consequence work related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

	Total no. of affected employees/ workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2024	FY 2023	FY 2024	FY 2023
Employees	Nil	Nil	Nil	Nil
Workers	Nil	Nil	Nil	Nil

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No/ NA)

Yes

5. Details on assessment of value chain partners:

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	90%
Working Conditions	90%

The above table is related with material supplier. All the manpower deployed to the factory/Office by various manpower supply companies are governed by the respective labour laws of that company/Plant.

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

All the manpower deployed to the factory/Office by various manpower supply companies are governed by the respective labour laws of the state concerned.

PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

Refer "Stakeholder communications" section (Page 42-43) in Sustainability Report

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Refer "Stakeholder communications" section (Page 42-43) in Sustainability Report

Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

Refer "Stakeholder communications" section (Page 42-43) in Sustainability Report

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics. If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

No such instances

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

No such instances

PRINCIPLE 5: Businesses should respect and promote human rights**Essential Indicators**

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2024 (Current Financial Year)			FY 2023 (Previous Financial Year)		
	Total (A)	No. of Employees/ Workers Covered (B)	% (B/A)	Total (A)	No. of Employees/ Workers Covered (B)	% (B/A)
Employees						
Permanent	7,487	7,487	100.00%	6,762	3,111	46.01%
Other than Permanent	7,341	5,139	70.00%	7,013	3,013	42.96%
Total Employees	14,828	12,626	85.15%	13,775	6,124	44.46%
Workers						
Permanent	3,554	3,554	100.00%	3,211	3,180	99.03%
Other than Permanent	11,158	7,253	65.00%	9,832	5,113	52.00%
Total Workers	14,712	10,807	73.46%	13,043	8,293	63.58%

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2024 (Current Financial Year)					FY 2023 (Previous Financial Year)				
	Total (A)	Equal to minimum wages		More than minimum wages		Total (A)	Equal to minimum wages		More than minimum wages	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (B)	% (B/A)	No. (C)	% (C/A)
Employees										
Permanent										
Male	6,838	0	0.00%	6,838	100.00%	6,260	0	0.00%	6,260	100.00%
Female	627	0	0.00%	627	100.00%	488	0	0.00%	488	100.00%
Other	22	0	0.00%	22	100.00%	14	0	0.00%	14	100.00%
Other than Permanent										
Male	7,091	0	0.00%	7,091	100.00%	6,867	0	0.00%	6,867	100.00%
Female	250	0	0.00%	250	100.00%	146	0	0.00%	146	100.00%
Workers										
Permanent										
Male	3,521	0	0.00%	3,521	100.00%	3,175	0	0.00%	3,175	100.00%
Female	33	0	0.00%	33	100.00%	36	0	0.00%	36	100.00%
Other than Permanent										
Male	10,249	5,670	55.32%	4,579	44.68%	9,006	4,956	55.03%	4,050	44.97%
Female	883	485	54.93%	398	45.07%	826	455	55.08%	371	44.92%
Other	26	0	0.00%	26	100.00%	0	0	0.00%	0	0.00%

3. Details of remuneration/salary/wages

a. Median remuneration / wages: FY 2024

(₹ in Million)

	Male		Female		Others	
	Number	Median remuneration/salary/wages of respective category	Number	Median remuneration/salary/wages of respective category	Number	Median remuneration/salary/wages of respective category
Board of Directors (BOD)	3	67.18	-	-	0	0
Key Managerial Personnel	2	11.79	-	-	0	0
Employees other than BOD and KMP	6,833	0.47	627	0.40	22	0.36
Workers	3,521	0.33	33	0.26	0	0

Note: Since Independent Directors received no remuneration, except sitting fee for attending Board/ Committee meetings, the required details are not applicable. Further, for the purpose of calculation of median remuneration of KMP, remuneration paid to Mr. Lalit Malik has not been considered due to cessation as KMP with effect from May 13, 2024.

b. Gross wages paid to females as % of total wages paid by the entity, in the following format:

	FY 2024 Current Financial Year	FY 2023 Previous Financial Year
Gross wages paid to females as % of total wages	5.94%	5.19%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to/by the business? (Yes/No)

All employees can reach out to management to address their concerns & we also have grievance redressal mechanism.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

We have an internal grievance redressal mechanism through which grievance get redressed. However, if the grievance is not settled by the internal committee then concern person is free to approach the government forum.

6. Number of Complaints on the following made by employees and workers:

	FY 2024 (Current Financial Year)			FY 2023 (Previous Financial Year)		
	Filed during the year	Pending resolution at the end of the year	Remarks	Filed during the year	Pending resolution at the end of the year	Remarks
Sexual Harassment	Nil	Nil	-	Nil	Nil	-
Discrimination at workplace	Nil	Nil	-	Nil	Nil	-
Child Labour	Nil	Nil	-	Nil	Nil	-
Forced Labour/ Involuntary Labour	Nil	Nil	-	Nil	Nil	-
Wages	Nil	Nil	-	Nil	Nil	-
Other human rights related issues	Nil	Nil	-	Nil	Nil	-

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format:

	FY 2024 Current Financial Year	FY 2023 Previous Financial Year
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	Nil	Nil
Complaints on POSH as a % of female employees / workers	Nil	Nil
Complaints on POSH upheld	Nil	Nil

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

All employees can reach out to management to address their concerns & we are also governed by POSH & Grievance redressal mechanism.

9. Do human rights requirements form part of your business agreements and contracts? (Yes / No)

Yes, As per Labour laws and/or other applicable laws

10. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	Nil
Forced/involuntary labour	Nil
Sexual harassment	Nil
Discrimination at workplace	Nil
Wages	Nil
Others - please specify	N.A.

11. Provide details of any corrective actions taken or underway to address significant risks /concerns arising from the assessments at Question 9 above.

We are strictly following the labour laws in which all above 6 points are covered, so far we have not been prosecuted for any deviations. All employees can reach out to the management to address any significant risks /concerns regarding their work environment.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/complaints.

We have had no such concerns in the past. However, all employees can reach out to the management to address any significant risks /concerns regarding their work environment.

2. Details of the scope and coverage of any Human rights due-diligence conducted

No such due-diligence conducted during the year.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes

4. Details on assessment of value chain partners:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Sexual harassment	Nil
Discrimination at workplace	Nil
Child labour	Nil
Forced/involuntary labour	Nil
Wages	Nil
Others - please specify	N.A.

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

There are no such cases.

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment

Essential Indicators

1. Details of total energy consumption and energy intensity, in the following format:

Parameter	Units	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Revenue from Operations	₹ in million	143,486.00	126,328.26
	Units	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
From renewable sources			
Total electricity consumption (A) Solar and Wind	million kWH units	78.96	57.70
Total fuel consumption (B)	million kWH units	-	-
Energy consumption through other sources (C)	million kWH units	-	-
Total energy consumed from renewable sources (A+B+C)	million kWH units	78.96	57.70
From non-renewable sources			
Total electricity consumption (D)	million kWH units	407.55	363.37
Total fuel consumption (E)	million kWH units	13.87	14.31
Energy consumption through other sources (F)	million kWH units	-	-
Total energy consumed from non renewable sources (D+E+F)	million kWH units	421.42	377.68
Total energy consumed (A+B+C+D+E+F)	million kWH units	500.38	435.38
Energy intensity per rupee of turnover (Total energy consumption/Revenue from operations)	kWH / per rupee of turnover	0.003	0.003
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP)	kWH / per rupee of turnover	NA	NA
Energy intensity in terms of physical output	kWH / per 8oz case of production volume	0.61	0.60
Energy intensity (optional) - the relevant metric may be selected by the entity		-	-

Note: Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, DQS (Deutsch Quality Systems India Private Limited)

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Not Applicable

3. Provide details of the following disclosures related to water, in the following format:

(in million liters)

Parameter	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Water withdrawal by source		
(i) Surface water	1,587	1,856
(ii) Groundwater	5,688	4,648
(iii) Third party water	-	-
(iv) Seawater / desalinated water	-	-
(v) Others	-	-
Total volume of water withdrawal (i + ii + iii + iv + v)	7,275	6,504
Total volume of water consumption	4,651	4,143

(in million liters)

Parameter	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Water intensity per rupee of turnover (Water consumed / Revenue from Operations)	0.032	0.033
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP)	NA	NA
Water intensity in terms of physical output (litres of water used per litre of beverage produced)	1.56^	1.57^
Water intensity (optional) - the relevant metric may be selected by the entity		

^ Note Steady state WUR was 1.54 times in 2023 and 1.50 times in 2024, the differential is on account of stabilization of 2 new greenfield plants in 2023 and 3 new greenfield plants in 2024.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, DQS (Deutsch Quality Systems India Private Limited)

4. Provide the following details related to water discharged:

(in million liters)

Parameter		FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Water discharge by destination and level of treatment			
(i) To Surface water		-	-
- No treatment		-	-
- With treatment - please specify the level of treatment		-	-
(ii) To Groundwater		-	-
- No treatment		-	-
- With treatment - please specify the level of treatment		-	-
(iii) To Seawater		-	-
- No treatment		-	-
- With treatment - please specify the level of treatment		-	-
(iv) Sent to third-parties		-	-
- No treatment		-	-
- With treatment - please specify the level of treatment		-	-
(v) Others		-	-
- No treatment		-	-
- With treatment - Water discharged is treated through ETP plants		2,624	2,254
Total water discharged		2,624	2,254

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, DQS (Deutsch Quality Systems India Private Limited)

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

No, the entity has not implemented a mechanism for Zero Liquid Discharge, however the company has adopted various improvement process for better water management:

- Low glass mix and more efficient new lines
- Air Scoring to complete in all the plants
- Connect all filters (ACF / PSF) for water recovery
- Optimize drainage timing at ACF / PSF (Optimization to standard 5 minutes drain time)
- Bottle washer recovery to complete. High volume glass line
- RO at ETPs at selective locations. Sample plant high volume to choose
- RO Efficiency to improve wherever RO recovery < Designed recovery
- Sensors / Foot operated taps for hand wash at plants

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify units	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
NOx	NA	NA	NA
SOx			
Particulate matter (PM)			
Persistent organic pollutants (POP)			
Volatile organic Compounds (VOC)			
Hazardous air Pollutants (HAP)			
Others - please specify			

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & intensity, in the following format:

Parameter	units	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)"	Metric tonnes of CO ₂ equivalent	88,224	74,260
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)"	Metric tonnes of CO ₂ equivalent	3,52,883	3,05,164
Total Scope 1 and Scope 2 emissions per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	kg of CO ₂ equivalent per rupee of turnover	0.003	0.003
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	kg of CO ₂ equivalent per rupee of turnover	NA	NA
Total Scope 1 and Scope 2 emission intensity in terms of physical output	kg of CO ₂ e/liter of beverage produced	0.09	0.09
Total Scope 1 and Scope 2 emission intensity (optional) - the relevant metric may be selected by the entity			

Note:

- We have adopted the SBTi methodology for calculating GHG emissions starting from FY 2024. Consequently, the GHG emissions for FY 2023 have been restated using this approach.
- The increase in GHG emissions is attributed to inorganic acquisitions in FY 2024.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, DQS (Deutsch Quality Systems India Private Limited)

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

Yes, The Company has taken several environmental initiatives which showcases commitment to sustainable practices:

- Procurement of Energy efficient machines
- Increase in Rooftop Solar Power Generation
- Energy efficient Visi coolers
- Conduction of Plantation Drive
- Use of Electric Vehicles for last mile delivery

Also, Refer "Sustained climate action: Reducing our carbon footprint" section (Page 72-73) in Sustainability Report

9. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Total Waste generated (in metric tonnes)		
Plastic waste (A)	206,682	175,292
E-waste (B)	1	4
Bio-medical waste (C)	-	-
Construction and demolition Waste (D)	Quantity not recorded but safely disposed through authorised vendors	
Battery waste (E)	-	-
Radioactive waste (F)	-	-
Other Hazardous waste. Please specify, if any. (G)	1,640	1,426
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	-	-
Total (A+B + C + D + E + F + G+ H)	208,323	176,722
Waste intensity per rupee of turnover (Total waste generated/ Revenue from operations)	0.001	0.001
Waste intensity per rupee of turnover adjusted Purchasing for Power Parity (PPP) (Total Revenue waste from generated / operations adjusted for PPP)	NA	NA
Waste intensity in terms of physical output	0.254	0.242
Waste intensity (optional) – the relevant metric may be selected by the entity		
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	181,887	150,982
(ii) Re-used	-	-
(iii) Other recovery operations	-	-
Total	181,887	150,982
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste	-	-
(i) Incineration	-	-
(ii) Landfilling	-	-
(iii) Other disposal operations	1,641	1,430
Total	1,641	1,430

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

No. However, Plastic waste recycling data is reported on CPCB portal as per EPR guidelines.

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

We do segregation of all type of waste at source and store wastes in designated areas only. Wastages are closely monitored on daily, weekly and monthly basis and are directly linked with plant KPIs. Approximately more than 90-98% waste (broken glass, plastic bottles, cartons, metal waste etc) goes for recycling. Unit has effective ETP operation combined with aeration and anaerobic system wherein effective operational controls ensures very limited quantity of ETP sludge generation as a hazardous waste. ETP sludge is safely collected in Hazardous waste storage area and finally disposal is done to pollution control board approved TSDF facility for landfill. Unit is not using any toxic chemicals.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

S.No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval/clearance are being complied with? (Y/N) If no, the reasons thereof and corrective action taken, if any.
			Not Applicable

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes / No)	Relevant Web link
					Not Applicable

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

Yes

Leadership Indicators

1. **Water withdrawal, consumption and discharge in areas of water stress (in million liters):**

For each facility/plant located in areas of water stress, provide the following information:

- (i) Name of the area: All the plants which are located in water stressed areas
- (ii) Nature of operations: Manufacturing of Beverages
- (iii) Water withdrawal, consumption and discharge in the following format:

(in million liters)

Parameter	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Water withdrawal by source		
(i) Surface water	593	575
(ii) Groundwater	1,532	1,603
(iii) Third party water	-	-
(iv) Seawater / desalinated water	-	-
(v) Others	-	-
Total volume of water withdrawal	2,124	2,178
Total volume of water consumption	1,403	1,418
Water intensity per rupee of turnover (Water consumed / turnover)	0.01	0.01
Water intensity (Optional) - the relevant metric may be selected by the entity	-	-
Water discharge by destination and level of treatment		
(i) Into Surface water	-	-
- No treatment	-	-
- With treatment - please specify level of treatment	-	-
(ii) Into Groundwater	-	-
- No treatment	-	-
- With treatment - please specify level of treatment	-	-
(iii) Into Seawater	-	-
- No treatment	-	-
- With treatment - please specify level of treatment	-	-

(in million liters)

Parameter	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
(iv) Sent to third-parties	-	-
- No treatment	-	-
- With treatment - please specify level of treatment	-	-
(v) Others	-	-
- No treatment	-	-
- With treatment - Water discharged is treated through ETP plants	721	761
Total water discharged	721	761

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	units	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Total Scope 3 emissions(Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	31,20,833	25,95,184
Total Scope 3 emissions per rupee of turnover	kg of CO ₂ e/ per rupee of turnover	0.02	0.02
Total Scope 3 emission intensity (optional) - the relevant metric may be selected by the entity	kg of CO ₂ e/ liter of beverage produced	0.67	0.63

Note:

- We have adopted the SBTi methodology for calculating GHG emissions starting from FY 2024. Consequently, the GHG emissions for FY 2023 have been restated using this approach.
- The increase in GHG emissions is attributed to inorganic acquisitions in FY 2024.

3. With respect to the ecologically sensitive areas reported at Question 10 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not Applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1	Plastic Waste Management	Engaged Gem Enviro Management Limited for phased implementation (upto 100%) recycling of used Plastic Wastes from end users.	Reduction in plastic waste
2	Water Conservation	Engaged DQS India Pvt. Ltd which verifies water mass balance and we also undertook several other initiatives towards water conservation and water recharge.	Reduction in wastage of water
3	Reduced grammage of Plastic Closures and Preforms (used for PET-Bottles) over the years	Packaging innovations introduced by PIH in India through Global R&D and best practices.	Reduction in plastic usage

Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
4	Use of fuels like biomass for steam generation, increasing renewable energy contribution	The company is proactive in adopting new technologies that use cleaner fuels of energy. Commissioned rooftop solar plants in most of our manufacturing plants and entered into open access solar and wind power for few manufacturing locations to increase the renewable energy contribution of our overall electricity consumption and redesigned the power generation units at many locations.	Reduction in Green House Gases
5	Installation of Effluent Treatment Plant	Plants have installed online monitoring Systems in Effluent Treatment Plant as well as Boiler emissions for all time compliance which is being monitored by CPCB on real time basis.	Effluents are treated and discharged under prescribed limits thereby remain well within the prescribed norms and consent conditions.

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

Yes; Unit does have Disaster/Emergency preparedness and response plan for business continuity. This includes all possible emergencies like Fire, Ammonia or CO2 leakage , any major safety accidents, Chemical leakage, Natural Calamity (flood, cyclone, earthquake) or pandemic situation like Covid 19. To ensure unit readiness plant is also exercising mock drill on six monthly frequency. In past unit has also successfully demonstrated to respond any emergency situation in past. Such one example is to ensure business continuity during Covid times by implementing effective control mechanism to avoid Covid 19 spread. Unit has successfully operated production during pandemic time by adapting all the established measures.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

In order to continuously reduce the Company environment footprint, the company is improving efficiencies, especially on critical resources such as Water, fuel and energy, optimizing the resource consumption and minimising wastages, increasing green cover in manufacturing plants and also developing outside establishments. Company also reduced weight of Closures and Preforms over the years to contribute towards environment sustainability. Company also implemented water consumption optimization measures and water recovery and reuse of the water across all plants.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

90%+ of Raw material suppliers, 90%+ of Capex suppliers and 90%+ of Distributors are covered for assessment.

PRINCIPLE 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/associations.

5

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	Federation of Indian Chambers of Commerce and Industry	National
2	PHD Chamber of Commerce and Industry	National
3	Confederation of Indian Industry (CII)	National
4	The Associated Chambers of Commerce and Industry of India	National
5	Action Alliance for Recycling Beverage Cartons	National

2. **Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.**

Not Applicable

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development

Essential Indicators

1. **Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.**

Name and brief details of project	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes/ No)	Relevant Web Link
Not Applicable					

2. **Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:**

S.No.	Name of Project for which R&R is ongoing	State	District	No. of Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In ₹)
Not Applicable						

3. **Describe the mechanisms to receive and redress grievances of the community.**

There is regular engagement with representatives from key neighbourhood across India. Stakeholders suggestions can also be emailed to the Compliance Officer at complianceofficer@rjcorp.in

4. **Percentage of input material (inputs to total inputs by value) sourced from suppliers:**

	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Directly sourced from MSMEs/ small producers	7.38%	6.66%
Directly from within India	91.84%	94.44%

5. **Job creation in smaller towns - Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost**

	FY 2024 (Current Financial Year)	FY 2023 (Previous Financial Year)
Rural	13%	12%
Semi-urban	17%	17%
Urban	65%	65%
Metropolitan	5%	6%

(Place to be categorized as per RBI Classification System - rural / semi-urban / urban / metropolitan)

PRINCIPLE 9: Businesses should engage with and provide value to their consumers in a responsible manner

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback

VBL Consumer response programme is developed to promptly resolve consumer concerns & grievances, which ensures that consumer/ customer is responded with courtesy and in timely manner. The Mechanism helps the organization to remain consumer centric, establish top down approach to build trust and strengthen transparency while addressing their queries and concerns:

The Complaints are lodged by consumer (via Toll Free no. available on label & crown), arranged and sorted by the PepsiCo Consumer Response System (CRS) representative who then, forwards the same to VBL after logging in on Wilke portal. VBL Plant team & Consumer Care / Complaint Management System (CCMS) coordinator review auto generated email containing relevant details of the Complaint which are then investigated by VBL Plant team, Regional Quality Coordinator (RQC) & CCMS coordinator and the complaint is attended by Customer Relationship Executive (CRE) to address the concern simultaneously. After detailed analysis of each reported complaints by all the plants root cause analysis is carried out and Corrective and Preventive Actions are taken by plant team.

Plants then, initiate an improvement plan to mitigate reoccurrence of concern and to pacify & satisfy the consumer.

Feedback:

Feedback is sent to PepsiCo CRS team by CCMS coordinator and Pepsi International (PI) Team connects & respond to consumer, subsequently on SOS basis.

The Complaints in VBL are tracked and reviewed monthly on the basis of it's nature, flavour, category and plant.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

We understand that we provide these information on the labels of our products like 'crush bottle after use', recyclable package mark, throw in dustbin mark, safe and responsible use instructions on energy drink (Sting), etc.

	As a percentage to total turnover
Environmental and social parameters relevant to the product	100%
Safe and responsible usage	100%
Recycling and/or safe disposal	100%

3. Number of consumer complaints in respect of the following:

	FY 2024 (Current Financial Year)			FY 2023 (Previous Financial Year)		
	Received during the year	Pending resolution at the end of year	Remarks	Received during the year	Pending resolution at the end of year	Remarks
Data privacy	NIL	N.A		NIL	N.A	
Advertising	NIL	N.A		NIL	N.A	
Cyber-security	NIL	N.A		NIL	N.A	
Delivery of Essential Services	NIL	N.A		NIL	N.A	
Restrictive Trade Practices	NIL	N.A		NIL	N.A	
Unfair Trade Practices	NIL	N.A		NIL	N.A	
Other - No. of complaints received through PepsiCo Customer Care	1,084	7	The pending complaints were resolved in subsequent months	1,223	17	The pending complaints were resolved in subsequent months

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for Recall
Voluntary recalls	NA	NA
Forced recalls	NA	NA

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, <https://varunbeverages.com/privacy>

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

NIL

7 Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.**a. Number of instances of data breaches**

0

b. Percentage of data breaches involving personally identifiable information of customers

0%

c. Impact, if any, of the data breaches

NA

Leadership Indicators**1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).**

<https://www.varunbeverages.com/our-products/>

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

[https://www.pepsico.com/docs/default-source/sustainability-and-esg-topics/pepsico-policy-on-responsible-advertising-and-marketing-to-children.pdf?sfvrsn=f7901072_3#:~:text=Additionally%2C%20PepsiCo%20will%20not%20advertise,pledge%20programs%20\(Pledge%20Programs\)](https://www.pepsico.com/docs/default-source/sustainability-and-esg-topics/pepsico-policy-on-responsible-advertising-and-marketing-to-children.pdf?sfvrsn=f7901072_3#:~:text=Additionally%2C%20PepsiCo%20will%20not%20advertise,pledge%20programs%20(Pledge%20Programs))

3 Does the entity display product information on the product over and above what is mandated as per local laws?

If yes, provide details in brief.

Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole?

We display all the mandatory product information on the product over as per the requirements of the regulatory authorities.